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JAPAN

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RETOUR BUREAU 706

ORGANISATION FOR ECONOMIC
CO-OPERATION AND DEVELOPMENT

PARIS JUNE 1967

BASIC STATISTICS OF JAPAN

THE LAND

Area (1,000 sq. km.	369.7
Agricultural area (1,000 sq. km. 1965)	55.5
Forest (1,000 sq. km. 1965	251.0
Population of major cities (1966) :	
— Tokyo (*Ku* area)	9,807,000
— Osaka	3,133,000
— Nagoya	1,954,000
— Yokohama	1,860,000

THE PEOPLE

Population (1966)	98,540,000
No. of inhabitants per sq. km. (1966)	267
Net natural increase in population (annual average 1956-1966)	940,000
Net rate of increase per 1,000 inhabitants (average 1956-1965)	9.9
Net emigration (average 1956-1966)	13,000
Employment (1966)	48,470,000
— Agriculture	11,730,000
— Manufacturing, mining and construction	15,490,000
— Other	21,250,000

PRODUCTION

Gross national product in 1966 (billion yen)	34,936,3
GNP per head 1966 (U.S. dollar)	982
Gross fixed investment, 1966 :	
— Percentage of GNP	34
— Per head (U.S. dollar)	332
Origin of net domestic income at factor cost, 1966:	
— Agriculture	12 %
— Manufacturing, mining and construction	36 %
— Other	52 %

THE GOVERNMENT

Current expenditures on goods and services, 1966 (percentage of GNP)	10
Capital expenditures, 1966 (percentage of GNP)	11
Current government revenues, 1966 (percentage of GNP)	21
Composition of the House of Representatives (486 members on 29th January, 1967):	
— Liberal Democratic Party	58 %
— Socialist Party	29 %
— Democratic Socialist Party	6 %
— Clean Government Party	5 %
— Communist Party	1 %

LIVING STANDARDS

Calories per head per day, 1966	2,319
Electricity consumption, 1966 (thousand kW per head)	2,102
No. of passengers' cars per 1,000 inhabitants, 1966	19
No. of subscribed telephones per 1,000 inhabitants, 1966	113
No. of T.V. subscribers per 1,000 inhabitants, 1965	196

FOREIGN TRADE

Exports

Exports of goods and services as a percentage of GNP, 1966	12
Main exports in 1966 (percentage of total exports):	
— Machinery	33
— Metals and Metal Products	18
— Textiles	18
— Chemicals	7
— Food	4

Imports

Imports of goods and services as a percentage of GNP, 1966	11
Main imports in 1966 (percentage of total imports):	
— Mineral fuels	19
— Food	18
— Metal ores	13
— Textile materials	10
— Other raw materials	18
— Machinery	8

THE CURRENCY

Monetary unit: yen.

Currency units per U.S. dollar 360

ECONOMIC SURVEYS BY THE OECD

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ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the OECD shall promote policies designed:

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the OECD, which came into being on 30th September 1961.

The members of OECD are: Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Japan, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

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INTRODUCTION

The 1964-65 recession proved unamenable to the relaxation of monetary and credit policies undertaken in December 1964 and reinforced during the first half of 1965. Private productive investment declined, reaching its trough in the fourth quarter of 1965 and inventory investment remained weak. The economy was, however, sustained by a growing external surplus, by a continuous growth of private consumption and by rising public expenditure both on current and on capital account.

In view of the weak response of the economy to monetary measures, the Authorities progressively resorted, for the first time in the post-war period, to reflationary budgetary policies on a substantial scale. In the summer of 1965 decisions were taken to accelerate public spending, stepping up government investment expenditure and letting the shortfall in tax receipts result in an important budget deficit. The 1966-67 budget (the Japanese fiscal year runs from 1st April to the 31st March) was strongly expansionary, involving massive tax cuts and increases in public expenditure—especially on investment. By the second half of 1966, the recovery of the economy was well established, and private productive investment exceeded its pre-recession level.

For 1967, the economic outlook is very strong, with investment demand expanding very rapidly. Strength is added to the present situation by the fact that inventory investment has remained up to now very moderate, and the current external account is still in substantial surplus. The rate of growth of GNP in 1967 will probably exceed that of 1966. Under these conditions, budgetary policies have become less expansionary.

The present Survey analyses, in its first part, developments from the 1965 autumn[1] up to the 1966-67 winter. The second part is devoted to the rôle of policies in the recovery process. Part III compares the experience of the last business cycle with previous ones, and part IV reviews more specifically the balance of payments situation. The present prospects of the economy are discussed in the fifth part, and policy issues in the conclusion.

1. Earlier developments were described in the OECD's Economic Survey of Japan, November 1965.

I. RECESSION, RECOVERY AND THE PRESENT BOOM

The restrictive monetary measures taken from December 1963 to March 1964 had induced, after a longer lag than usual, a halt in expansion from the third quarter 1964 onwards. The ensuing recession did not provoke an absolute fall in GNP, which still showed a limited rise through 1965. But whether the end of the cycle is defined by the resumption of " normal " rates of growth or, perhaps more appropriately, by the reversal of the trend in private productive investment, the recovery may be situated near the end of 1965. It was only in the first quarter 1966 that industrial production and imports unmistakably exhibited a resumption of growth and private productive investment started rising again.

The behaviour of the main components of demand in the recession and subsequent recovery (up to third quarter 1966, the last period for which national accounts statistics were available at the time ot writing) is summarised in Table 1. The negative factor represented by business spending on fixed investment and stocks amounted during the recession

TABLE 1. CHANGES IN COMPONENTS OF DEMAND, *1964-1966*

Billion yen, current prices, seasonally adjusted, annual rates.

	3rd QTR. 1964 (ABSOLUTE FIGURES)	CHANGES 3rd QTR. 1964-4th QTR. 1965	CHANGES 4th QTR. 1965-3rd QTR. 1966	3rd QTR. 1964-3rd QTR. 1966 CHANGES ABSOLUTE	%	IN % OF INITIAL GNP
1. Private investment in machinery and equipment	5,127	— 412	+ 737	+ 325	+ 6.3	1.1
2. Private investment in stocks	1,161	— 707	+ 488	— 219	..	— 0.8
3. 1 + 2	6,288	— 1,119	+ 1,225	+ 106	+ 1.7	0.4
4. Net exports	— 74	+ 381	+ 175	+ 556	..	2.0
5. Central government consumption expenditure	2,664	+ 412	+ 319	+ 731	+ 27.5	2.6
6. Government fixed investment	2,730	+ 600	+ 755	+ 1,355	+ 49.6	4.8
7. Government enterprises, increase in stocks	10	+ 251	— 179	+ 72	..	0.3
8. 5 + 6 + 7	5,403	+ 1,263	+ 895	+ 2,158	+ 39.9	7.6
9. Private consumption	15,272	+ 2,454	+ 1,801	+ 4,256	+ 27.9	15.0
10. Private residential construction	1,451	+ 379	+ 113	+ 492	+ 33.9	1.7
11. 9 + 10	16,723	+ 2,834	+ 1,914	+ 4,748	+ 28.4	16.8
12. Gross national expenditure	28,340	+ 3,359	+ 4,209	+ 7,568	+ 26.7	26.7

Source: Annual Report on National Income Statistics, Economic Planning Agency.

to about 4 per cent of the GNP of the initial period. The recovery of this type of spending up to the third quarter of 1966 hardly raised it above its pre-recession level in value terms and probably left it lower in real terms.

All other components of final demand expanded considerably during the recession. Thanks to a vigorous expansion of exports, and stagnant imports, the current external account improved by about 1.3 per cent of GNP. The growth of total public sector spending on goods and services was as high as 23 per cent, raising demand by some 4.5 per cent of initial GNP. Household spending (consumption and residential construction) rose by 17 per cent, contributing some 10 per cent to GNP. The foregoing calculations are all in value terms. In real terms, the rates of growth were substantially lower (the implicit deflator of GNP rose by more than 8 per cent, seasonally adjusted, in the five quarters considered); and the relative size of contributions of the components to final demand is rather different, the net external surplus being much more important in real terms.

The rôles of the public and external sectors are analysed in more detail below (pages 15 to 23 and pages 30 to 35). The growth of private consumption during the recession was substantial (more than 7 per cent in real terms) and acted as a powerful stabilizer of the economy. Very similar phenomena were observed in both the 1961-63 and 1957-58 recessions. The strength of private consumption, however, is difficult to explain, even with a 10 per cent rise in money wages, given the fact that consumer prices rose by more than 8 per cent in this period, and that employment in manufacturing was falling. The tendency for non-manufacturing employment to continue rising during the recession would have boosted consumption, but only to a limited extent.

Although some signs of improvement in the business situation had started to appear towards the end of 1965, it was only in the first quarter of 1966 that the economy was clearly set on the way toward recovery. The continuous expansion of demand other than business spending on fixed capital and stocks (between the fourth quarter of 1965 and the first quarter of 1966 these components contributed a further 3 per cent in real terms to the GNP) at last led to an increase of industrial output. Inventory-delivery ratios started improving, and the absolute inventory level began to increase moderately in the form of work in progress and stocks of raw materials. The first quarter of 1966 also witnessed a recovery of private productive investment—mainly limited, up to the middle of the year, to non-manufacturing (transport, public utilities, etc.).

Between the fourth quarter of 1965 and the third quarter of 1966 private consumption continued to rise at about the same rate as during

TABLE 2. **PRIVATE INCOME AND CONSUMPTION**

Seasonally adjusted indices : 3rd quarter 1964 = 100.

	1964		1965			
	III	IV	I	II	III	IV
Monthly earnings:						
Manufacturing	100.0	102.0	104.8	106.0	109.1	109.6
Total	100.0	101.2	104.6	105.8	108.1	111.1
Apparent wage bill[1]:						
Manufacturing	100.0	102.5	105.6	106.4	109.1	109.3
Total	100.0	101.8	105.6	106.8	109.4	112.9
Consumer prices (national index, not seasonally adjusted)	100.0	102.4	104.5	106.5	106.5	108.6
Apparent wage bill, purchasing power:						
Manufacturing	100.0	100.1	101.1	99.9	102.4	100.6
Total	100.0	99.4	101.1	100.3	102.7	104.0
National accounts:						
Wages and salaries	100.0	102.6	105.6	110.9	114.6	117.6
Incomes from non-corporate enterprises:						
Agriculture	100.0	103.2	115.4	110.0	115.3	112.3
Others	100.0	100.4	104.6	103.7	105.4	106.0
Implicit deflator for private consumption	100.0	102.3	103.8	105.8	106.6	108.0
Private consumption in real terms	100.0	100.8	102.0	103.9	106.4	107.5

1. Calculated on the basis of seasonally adjusted data for monthly earnings and employment (old series).

Sources: Ministry of Labour; Bureau of Statistics and Economic Planning Agency.

the recession period, but probably substantially faster in real terms. (Consumer prices, which had risen during the recession by about 6.2 per cent, increased by only 3.1 per cent in the first three quarters of 1966, food and non-food prices rising almost parallel in both periods.) The rate of growth of labour income certainly increased, with a strong rise in earnings and some improvement in manufacturing employment. Other incomes must have improved substantially. Towards the end of 1966 the growth of private consumption has probably accelerated. Current indicators for urban and rural consumption show rises at annual rates of 15 and 11 per cent respectively between the third and the fourth quarters 1966. The rise in labour income does not seem to have accelerated noticeably, as might have been expected as the boom progressed. Indeed, the increase of monthly earnings in manufacturing has

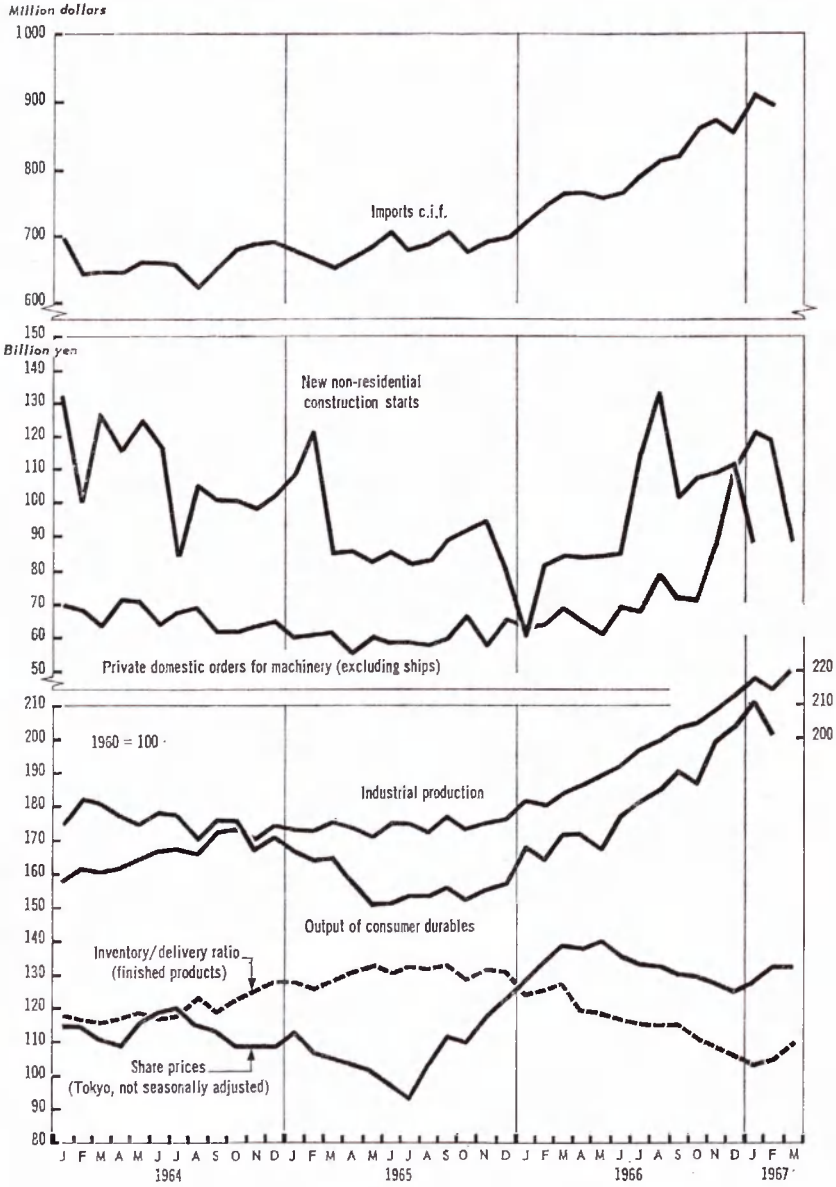
tended to slow down rather than to strengthen in the second half, and the volume of employment in manufacturing showed virtually no increase after the second quarter of the year. And the volume of consumption will have been limited by the fact that consumer prices, after the deceleration noted up to the third quarter of 1966, resumed their strong rise (due this time almost exclusively to food prices, which increased at an annual rate of almost 12 per cent between September 1966 and February 1967, pushing up the consumer price index by a 6 per cent annual rate during the same period). But consumer expenditure was probably stimulated by the important tax cuts in the 1966 budget. In any case, information from the supply side indicates a phenomenal growth of purchases of consumer durables (output rose at an annual rate of about 60 per cent between July-August 1966 and January-February 1967) but a rather sluggish demand for consumers' non-durables (with output stagnant over the same period). Household expenditure on residential construction, which had weakened in the first part of 1966, has probably started accelerating again, to judge from the trend of building starts since the third quarter 1966.

As a consequence of the important changes introduced in budgetary policies, government spending on consumption and fixed investment in particular accelerated in 1966, fully offsetting the restrictive impact resulting from the reversal in stock formation by government enterprises (see Table 1). Government current revenue increased relatively much more slowly. The deficit of the public sector, on a national accounting basis (spending on goods and services minus current revenue net of transfers) reached, during the first three quarters of 1966, about 2.8 per cent of GNP, as against about 0.6 per cent in the same period of 1965 (see Table 9). In the last quarter of 1966 and the first of 1967, public spending probably provided little further stimulus; neither government consumption nor investment has progressed much from the very high levels of the previous quarters, and government revenue must have benefited from the rapid expansion of incomes.

Up to the third quarter of 1966 the current account external surplus showed a further improvement which, though limited, remains striking against the acceleration of home demand and the first signs of a weakening in world trade. The surplus rose from 307 billion yen in the last quarter 1965 to 482 billion in the third quarter 1966 (national accounts statistics, seasonally adjusted figures at current prices). According to customs statistics, imports (c.i.f., seasonally adjusted) rose during this period at an annual rate of about 22 per cent and exports about 24 per cent. In the two subsequent quarters the current surplus diminished, the rate of growth of exports slowing down to 9 per cent, whilst imports accelerated to 26 per cent. However, the behaviour of exports seems linked for the main part to developments in foreign

Diagram 1. **BUSINESS INDICATORS**

SEASONALLY ADJUSTED



Sources: Economic Planning Agency, Ministry of Finance, Ministry of International Trade and Industry, Ministry of Finance, and Tokyo Stock Exchange.

markets; exports to North America and to the Sino-Soviet bloc have stagnated or receded in the past six months, whilst exports to other markets have continued to expand strongly.

The recovery in business spending on fixed capital and stocks began in the first quarter 1966, gathered momentum during the following two quarters and almost certainly strengthened further up to the first quarter of 1967. The rate of stock accumulation has remained remarkably moderate (about 1.7 of the GNP at current prices during the first three quarters of 1966, as against 4.6 per cent in the comparable phase of the 1963 recovery). In fact, the rise in stocks from the beginning of the recovery up to the first quarter of 1967 seems mainly attributable to the growth of work in progress and stocks of materials. Producers' stocks of finished goods declined up to the autumn of 1966, and recovered only modestly afterwards, whilst stocks at the distribution stage varied little one way or the other after the end of 1965. By the end of 1966 inventory-delivery ratios in manufacturing had reached levels lower even than those prevailing at the height of the 1963-64 boom.

The recovery in private productive investment in the first half of 1966 was due, as already pointed out, to the accelerated expansion of non-manufacturing investment; despite the rapid rise in operating ratios, and the sharp upswing in profits (industrial output rose in the first half 1966 at an annual rate of 18 per cent, with virtually constant labour inputs), investment in manufacturing only stopped declining in the first quarter of the year. In fact, a substantial expansion in manufacturing investment seems to have set in only in the second half of 1966, and the value of new private domestic orders for machinery (excluding ships) showed a strong acceleration only after October 1966. And new non-residental construction starts only clearly recovered in the second half of the year, even then remaining below the levels of the first half 1964—which seems to be at variance with the data on non-manufacturing investment. It is interesting to note that a true recovery in manufacturing investment manifested itself only after manufacturing output had risen 25 per cent between the third quarter of 1964 and the fourth of 1966.

In the first quarter 1967, business conditions strengthened further. Industrial production was rising at an annual rate of 18 per cent, and in some sectors (steel, some chemicals) output had reached the limits of capacity. In February 1967, 20 per cent of the enterprises covered by a Bank of Japan enquiry reported that their capacity was " less than adequate "—a percentage comparable to that of the very strong boom year 1961. New orders for machinery continued to rise steeply, and a number of surveys indicated strong investment intentions. Wholesale prices for finished investment goods continued to be practically stable, but prices of materials and of iron and steel were strengthening. Employment and hours of work in manufacturing have recently been rising,

TABLE 3. PRIVATE PRODUCTIVE INVESTMENT BY SECTORS

SEASONALLY ADJUSTED

Billion yen.

	1964				1965				1966			
	I	II	III	IV	I	II	III	IV	I	II	III	IV
Manufacturing	561.2	543.0	589.1	577.7	517,5	497.5	462.6	430.4	440.8	466.5	497.9	563.2
Non-manufacturing	630.9	694.7	714.4	725.8	756.5	689.2	736.1	753.1	793.3	833.5	848.3	888.8
Total	1,192.1	1,221.1	1,281.8	1,268.2	1,234.7	1,193.5	1,204.6	1,178.9	1,236.5	1,284.0	1,346.2	1,452.0

Source: Economic Planning Agency.

TABLE 4. **INDUSTRIAL PRODUCTION**

Percentage change from previous year.

	1961	1962	1963	1964	1965	1966
By industry:						
Mining and manufacturing	19.4	8.3	10.1	17.2	4.6	11.7
Machinery	29.0	12.4	10.0	21.6	2.5	13.0
Iron and steel	26.1	— 0.5	11.9	23.1	2.8	15.2
Chemicals	13.8	14.2	17.5	17.2	16.3	16.3
Textiles	7.9	5.2	7.9	11.8	7.5	10.7
By category:						
Capital goods	30.0	10.5	9.5	26.4	6.3	9.1
Durable consumer goods	25.8	14.4	11.3	9.7	— 10.5	15.0
Non-durable consumer goods	9.0	11.5	6.3	7.0	7.6	6.7
Construction materials	15.0	5.3	9.7	16.6	2.5	7.8
Other materials	18.5	5.4	11.8	17.3	6.0	14.9

Source: Ministry of International Trade and Industry.

and the ratio of job vacancies to applicants which continued to rise has levelled off during the first quarter of 1967. But there are no signs up to now of an accelerated growth of earnings. All in all, total final demand, and gross national product appear to be growing at an annual rate of more than 10 per cent in real terms, and their growth is probably still accelerating.

II. THE ROLE OF ECONOMIC POLICY IN THE RECOVERY PROCESS

Demand management policies again played a decisive rôle in the last recovery process. But the response of the economy to credit relaxation was very weak compared with previous periods and it was only through an important change of the policy mix nine to twelve months after the beginning of the recession that the downward trends in business spending were halted and a new upswing generated.

Monetary policy and developments

The first moves in relaxing policies were undertaken in the monetary field. Between December 1964 and July 1965 the Bank of Japan reduced its official discount rate in three steps from 6.57 per cent to

Table 5. LABOUR MARKET AND EMPLOYMENT

Seasonally adjusted.

	1964				1965				1966				1967
	I	II	III	IV	I	II	III	IV	I	II	III	IV	I
Labour market (thousands):													
1. Unemployment[1]	390	350	360	350	360	400	410	420	460	430	420	440	440
2. Job applicants	1,315	1,302	1,280	1,264	1,268	1,242	1,240	1,239	1,233	1,218	1,201	1,195	1,203
3. Jobs vacant	1,016	1,004	1,069	1,042	930	788	725	718	773	831	937	1,058	1,084
in percent of 2	77	77	84	82	73	63	58	58	63	68	78	88	90
Employment in manufacturing[2]*:*													
4. Number of employed	96.3	97.4	98.4	99.3	99.7	100.0	100.0	100.2	100.4	100.1	100.4	100.7	101.5
5. Monthly hours worked	102.7	102.3	101.3	101.0	100.9	99.5	99.7	99.4	100.4	100.8	100.8	100.7	101.3
6. Labour input (4 × 5)	98.9	99.6	99.7	100.3	100.6	99.5	99.7	99.6	100.8	100.9	101.2	101.4	102.8

1. Seasonal adjustment by OECD.
2. 1965 = 100.

Source: Ministry of Labour and Statistics Bureau, Prime Minister's Office.

5.47 per cent, lowered required reserve ratios twice and cut deposit requirements on imports. Eventually, in view of the cautious lending attitude assumed by the banks, " window guidance " was suspended in June 1965. Action was taken to restore public confidence in the stock market through the grant of special loans and accommodation for purchases.

In 1966 and the early part of 1967 the Bank of Japan kept credit conditions easy without, however, making important further active use of monetary instruments. Once the recovery had been set on its feet, the main aim was to even out seasonal strains on liquidity. To this end the techniques of open-market operations of the Bank of Japan were improved in early 1966 and interest rates charged by government financial institutions were somewhat reduced in the course of fiscal year 1966. In the first three months of 1967 the Bank of Japan undertook large-scale buying operations to compensate the big, seasonal net absorption of liquidity through the Treasury. The purchases included one year-old national bonds, bank debentures and government guaranteed *corporate* bonds, none of which had not been the subject of open market operations before. After more than a year's stability, the Bank allowed various call money rates to change more freely and increased borrowing facilities of call brokers and city banks.

A salient feature of the last business cycle has been the very weak response of private economic activity to the relaxation of monetary policy. The slowing down of the private sector's borrowing continued throughout 1965, particularly in the case of corporate business which also sharply restricted the issue of shares. Public sector borrowing was also relatively sluggish in the first half of 1965 but increased considerably in the latter half, reflecting policy changes in the budgetary field (see below). Corporate business' demand for new credit remained depressed up to the middle of 1966 but recovered increasingly thereafter. In early 1967 new loans for equipment were running at a rate 30-40 per cent above the level of a year earlier. But compared with previous boom years, the growth of outstanding credits and discounts of commercial banks is still very moderate. Until recently, total bank lending was increasing at an annual rate (seasonally adjusted) of only about 15 per cent, compared with 27 per cent in 1963.

Fiscal policy and trends of public finances

While monetary policies may have tempered the downswing, it was first and foremost the re-orientation of budgetary policies that lifted the economy out of the recession. The re-orientation has been gradual. The 1964 budget showed only a limited expansion, and for part of 1965 central government finance had a clearly restrictive character. The

TABLE 6. **BORROWING**

	1961	1962	1963	1964				
				I	II	III	IV	YEAR
Total Borrowing[1]*:*								
Public sector	125	646	819	— 600	1,364	312	3,264	1,071
Private non-financial sector	7,340	6,908	6,705	7,204	7,092	6,744	10,448	7,265
Personal	891	1,146	1,571	796	1,404	968	1,796	1,138
Corporate business	6,449	5,362	8,134	6,408	5,688	5,776	8,652	6,127
Security Issues:								
Central and local government bonds	15	10	83	100	164	68	68	100
Enterprises (bonds)	562	358	472	616	444	432	480	493
Shares	978	781	665	700	840	852	1,016	852
Bank debenturees	211	268	374	332	372	424	512	410
Total Lending:								
Commercial banks (seasonally adjusted)	1,588	1,729	3,014	2,260	2,192	2,324	2,104	2,220
Non-bank financial intermediaries	1,628	2,057	2,391	1,780	2,024	2,528	3,424	2,539

1. Calculated on the basis of flow of funds statistics, includes all types of loans and credits and issues of securities.

Source: Economic Statistics of Japan and Economic Statistics Monthly, Bank of Japan.

expansionary measures taken in the latter half of fiscal year 1965 had a favourable effect resulting to a large extent from the unexpectedly important psychological repercussions on private business. Changed budgetary attitudes, and the new conception of fiscal policy as a contra-cyclical instrument, became fully evident only in the 1966 budget, which in fact appears to have led the economy from hesitant recovery to vigorous expansion.

The general account budget for the fiscal year 1965 had been drafted in the traditional manner, based on the principle of balancing total expenditure by current receipts. Anticipating a slowing down of tax revenue, the budget showed the smallest rise in expenditures for five years. The Financial Loan and Investment Programme (FLIP), though raised substantially, was also planned to expand less than in the previous year. As a result, total government spending on goods and services was expected to increase slightly less than GNP. When it became apparent, shortly after the budget had been voted, that actual receipts

AND LENDING

Billion yen, annual rate.

1965					1966				
I	II	III	IV	YEAR	I	II	III	IV	YEAR
— 503	1,368	1,316	3,884	1,516	555	2,226	1,656		
6,081	4,177	6,837	7,502	6,150	6,051	4,656	8,780		
1,270	853	1,731	1,724	1,395	1,819	1,728	2,529		
4,811	3,324	5,106	5,778	4,755	4,232	2,928	6,251		
116	96	60	220	123	1,328	1,124	912	1,224	1,147
732	552	864	1,148	824	1,168	828	944	1,080	1,005
300	108	284	372	270	280	420	500	492	423
484	520	672	588	566	548	516	640	620	581
2,376	2,164	2,368	2,424	2,333	2,504	2,236	3,164	3,216	2,780
2,704	1,844	3,232	4,692	3,118	2,936	1,532	3,372		

would fall short of official estimates, it was decided to freeze about 3 per cent of general account budget appropriations.

An important change of budgetary attitudes, however, took place when it was realized that the easing of monetary conditions was not going to be sufficient to halt the recession. The scope for immediate action during the remainder of fiscal year 1965 was limited, particularly for the general account budget. The first measures announced in June 1965 were designed to speed up the implementation of various government spending programmes, the execution of which had been delayed during the earlier part of the budget year. More important steps were taken in July when, among other things, it was decided to increase the size of the projects financed by the FLIP by some 210 billion yen (o.7 per cent of GNP) with priorities given to expenditures having an immediate economic impact, and to make preparations for subsantial tax cuts and for the issue of government bonds. In December it was agreed to offset the expected shortfall of tax receipts of 259 billion yen by issuing

TABLE 7. FACTORS OF CHANGES IN MONEY SUPPLY

Billion yen.

	1963	1964	1965	1966	1964		1965		1966	
					I	II	I	II	I	II
Net receipts (—) or net payments of Treasury funds (A)	150	484	260	— 85	— 227	711	— 332	591	— 379	294
Other than foreign exchange funds	77	516	237	— 49	— 147	663	— 319	555	— 366	318
Foreign exchange funds	73	— 32	23	— 37	— 80	48	— 13	36	— 13	— 24
Change in accounts of financial institutions (B)	1,875	526	1,328	1,540	— 94	620	251	1,078	188	1,352
of which:										
increase or decrease (—) in loans	4,305	3,176	3,721	4,279	1,138	2,039	1,151	2,570	1,174	3,105
increase or decrease (—) in securities	485	400	332	1,263	222	177	38	294	592	671
of which:										
Government securities	— 1	— 5	— 11	577	— 4	— 1	— 9	— 2	261	316
increase (—) or decrease in time and saving deposits	— 2,398	— 2,183	— 2,428	— 3,049	— 1,097	— 1,086	— 1,044	— 1,384	— 1,359	— 1,690
Change in total money supply (A + B)	2,025	1,010	1,588	1,455	— 320	1,331	— 81	1,669	— 191	1,646
Deposit currency	1,805	754	1,311	1,130	— 172	925	92	1,219	— 1	1,131
Cash currency	220	256	277	325	— 149	405	— 173	450	— 190	514

Source: The Bank of Japan.

TABLE 8a. GENERAL ACCOUNT BUDGET

Fiscal years. Billion yen.

	1964	1965	1966	1967
Total revenue	3,340	3,745	4,477	4,951
Taxes and stamp revenue	2,969	3,029	3,344	3,855
Monopoly profit	159	169	185	161
Receipts from government enterprises and properties	15	17	17	16
Miscellaneous revenues (including sales of government properties)	121	182	195	166
Surplus carried over from the previous year	76	88	5	2
Public bonds	—	259	730	800
Total expenditure	3,340	3,745	4,477	4,951
Social Security	444	544	631	718
Promotion of education and science	428	493	562	625
Pensions	162	171	195	218
Local allocation tax[1]	637	716	829[2]	910[2]
National defence	281	305	345	381
Public works	646	742	888	996
Others	743	774	1,027	1,103

1. i.e. the part of the proceeds of income tax, corporate tax and liquor tax transferred to local authorities.
2. Including temporary special grants worth of 46 billion yen in 1966 and 12 billion yen in 1967.

Source: Ministry of Finance.

NOTE. Fiscal years 1964-1966 refer to the final budget, 1967 to the budget proposals.

TABLE 8b. THE FINANCIAL LOAN AND INVESTMENT PROGRAMME

Fiscal years. Billion yen.

	1964	1965	1966	1967
Welfare	426	535	694	795
Housing	180	226	324	382
Water, Sewage, etc.	161	201	233	265
Agriculture and smaller industries	276	321	389	470
Roads, transportation, regional development	492	516	632	728
Key industries and export promotion	237	248	313	396
Total	1,431	1,621	2,027	2,388

Source: Ministry of Finance and Economic Planning Agency.

NOTE. 1964 fiscal year refers to the settled expenditure, fiscal years 1965, 1966 and 1967 to the initial plan; settled was 1,783 billion yen in infiscal year 1965. The revised programme for 1966 was 2,129 billion yen as of the end of the fiscal year.

government bonds rather than by cutting planned expenditure. On the other hand, the supplementary budget for the fiscal year 1965, which was approved in December, was relatively small and was not designed to give additional stimulus to the economy. Part of the supplementary expenditure (141 billion yen) had to be financed through budget economies and the increase of ordinary non-tax revenue, the small remainder by drawing on contingency and carried-over reserves.

The official economic forecast and policy programme for fiscal year 1966 expressed the new rôle of fiscal policy in more definite terms. The most important features of the new programme were:

i) a 17.9 per cent increase of initial general account budget spending over the initial 1965 budget, which had shown a rise of 12.4 per cent only;

ii) the introduction of the biggest tax cut in the post-war period, amounting to 311 billion yen on a full-year basis (1 per cent of GNP);

iii) the departure from the long-standing principle of a balanced budget by authorising the issue of 730 billion yen long-term government bonds;

iv) a 25 per cent increase in spending by the FLIP over the initial 1965 programme, which in turn was 21 per cent up on the 1964 plan;

v) the setting up of a special government committee to concentrate and accelerate spending as far as possible in the first half of fiscal year 1966.

Partial information on the implementation of the fiscal year 1966 budget suggests that the programme was fulfilled in its essentials. In fact, the increase of general account spending on a revised budget basis (including the supplementary budget) exceeded the rise originally foreseen by about 2 percentage points. The attempt to concentrate spending on the first half of the year also proved successful inasmuch as contracts covering 75 per cent of the total value of public works were concluded in this period, as against the original target of 60 per cent and a much lower implementation rate customary in the past. The actual rise of spending by the FLIP, including supplementary items, was however substantially less than suggested by the comparison of the initial amounts, because the additions made during the year were significantly smaller than in fiscal year 1965. Tax receipts and other current revenue developed more strongly than originally foreseen. A large part (163 billion yen) of the excess revenue was used to finance the supplementary budget (199 billion yen); the remainder and some budget economies combined to reduce long-term borrowing requirements to 666 billion yen.

Table 9. PUBLIC FINANCE

Billion yen.

	FY 1961	FY 1962					FY 1963					FY 1964					FY 1965					FY 1966			
	YEAR	I	II	III	IV	YEAR	I	II	III	IV	YEAR	I	II	III	IV	YEAR	I	II	III	IV	YEAR	I	II	III	YEAR
1. General account expenditure[1]	2,041	740	550	694	562	2,546	895	663	851	614	3,022	976	756	910	675	3,317	987	738	1,149	807	3,681	1,359	959	1,221	(4,471)
2. General account expenditure, percentage change from previous year	17.8	19.6	33.2	14.1	25.4	24.7	20.9	20.5	22.6	9.3	18.7	9.1	14.0	7.0	10.0	9.8	1.1	—2.4	26.3	19.7	11.0	37.7	29.9	6.3	(21.5)
National account basis:																									
3. Public consumption	1,625.6	342.1	363.0	546.1	680.0	1,931.2	384.9	435.6	718.2	781.5	2,320.3	488.5	524.5	788.6	883.1	2,684.7	557,9	590.4	896.7	1,041,1	3,086.1	631.1	667.2	1,011.2	(347.0)
4. Government gross fixed asset formation	1,731.5	371.1	456.8	611.7	759.0	2,198.6	426.5	512.0	688.7	859.7	2,486.9	461.8	571.4	770.8	930.2	2,734.2	550.8	648.7	933.1	1,106.4	3,238.9	731.9	851.5	997.9	(393.0)
5. Change in stocks	—14.6	—147.3	10.8	262.5	—139.5	—13.5	—135.8	—16.0	256.9	—144.2	—39.1	—127.4	—10.3	313.2	—116.8	58.7	—131.4	—7.0	374.4	—142.4	93.5	—130.5	—2.7	432.0	
6. Total expenditure on goods and services	3,342.5	565.9	830.6	1,420.3	1,299.5	4,116.3	675.6	931.6	1,663.8	1,497.0	4,768.0	822.9	1,085.6	1,872.6	1,696.5	5,477.6	977.3	1.232.1	2,204.2	2,005.1	6.418.5	1,232.5	1,516.0	2,441.1	(740.0)
7. Current transfer payments	776.2	256.6	211.6	244.9	188.0	901.0	281.8	256.2	318.7	235.5	1,092.2	328.2	384.5	329.4	278.3	1,320.3	370.5	364.1	500.7	337.7	1,578.1	426.2	473.6	540.5	(194.0)
8. Total income effective spending (6 + 7)	4,118.7	722.5	1,042.2	1,665.2	1,487.5	5,017.3	957.4	1,187.8	1,982.5	1,732.5	5,860.2	1,151.1	1,470.1	2,202.0	1,974.8	8,798.0	1,347.8	1.595.7	2,704.9	2,342.8	7.996.1	1,658.7	1,989.6	2,981.6	(934.0)
9. Current revenue	4,168.0	993.5	1,084.1	1,197.2	1,321.6	4,596.4	1,270.7	1,257.5	1,336.4	1,484.7	5,349.3	1,269.3	1,478.5	1,507.5	1,787.6	6,043.0	1,337.6	1,663.5	1,717.8	1,903.3	6,622.2	1,567.4	1,844.8	1,963.4	
10. Balance of income effective transactions (9-8)	49.3	271.0	41.9	—468.0	—165.9	—420.9	313.3	69.7	—646.1	—247.8	—510.9	118.2	8.4	—694.5	—187.2	—755.0	—10.2	67.8	—987.1	—439.5	—1373.9	—91.3	—144.8	—1017.2	
Ratios:																									
11. Share of public sector's spending on goods and services in GNP :																									
seasonally adjusted	17.3	18.1	19.8	19.3	19.9	19.4	19.0	18.7	19.6	19.0	19.3	19.2	19.0	19.2	19.3	19.3	19.7	20.1	21.0	20.3	20.4	21.5	21.0	20.3	
seasonally unadjusted	17.3	12.2	17.5	21.4	25.2	19.4	13.2	16.3	21.8	23.9	19.3	13.6	16.4	21.4	24.1	19.3	14.4	17.3	23.1	25.3	20.4	16.0	18.2	22.3	
12. Share of government current revenue (net of current transfer effected) in GNP	17.0	15.9	18.4	14.3	22.0	17.1	19.2	17.5	13.3	20.0	17.3	15.5	16.6	13.5	21.5	16.6	14.2	18.3	12.8	19.8	16.1	14.8	16.4	13.0	

1. Figures for the first quarters (and the years) include the amounts disbursed during the settlement period of the preceding fiscal year

Source: Economic Planning Agency; Annual Report on National Income Statistics, 1967.

Note : Figures in brakets for F.Y. 1966 are estimates.

TABLE 10. TAX CUTS

Billion yen.

	1963	1964	1965	1966	1967
Income taxes	66.8	74.5	65.4	158.3	92.5
Corporate taxes	+ 12.8	58.6	56.6	98.7	30.3
Other direct taxes	—	4.5	0.5	15.0	3.1
Direct taxes	54.0	137.6	122.5	272.0	125.9
Indirect taxes	+ 4.2	+ 24.8	+ 10.9	38.6	+ 31.9
National taxes	49.8	112.8	111.6	310.6	94.0
Local taxes	18.3	55.7	8.7	47.0	51.7
Total	68.1	168.5	120.3	357.6	145.7

Source: Ministry of Finance.

NOTE. The amount of tax cut is calculated on a full-year basis at the difference between estimated tax revenues with and without changes in tax system. (+) signs indicate increase in tax.

In Table 9 certain aspects of public finance are presented to facilitate judgment on the effects of the new fiscal policy. On a year-to-year comparison there was a pronounced slowing down of the growth of general account spending in the second half of fiscal year 1964 and the first half of fiscal year 1965 (the whole year ending September 1965) followed by a sharp acceleration during the next twelve month's period. This change of trend certainly reflects the reversal in governmental policies in mid-1965, the decisions taken in June and July 1965 to speed up disbursements in the remainder of fiscal year 1965 and, later, to concentrate spending out of the 1966 budget in the first half of the budget year. Seasonally adjusted national accounts statistics confirm this picture. The trend of total government expenditure on goods and services (consumption, gross fixed asset formation and stock formation by government enterprises) strengthened appreciably from the third quarter of the fiscal year 1965 (fourth quarter of calendar year 1965) onwards. The share of government expenditure on goods and services in GNP at current prices remained virtually stable at about 19 per cent between the summer of 1963 and the early spring of 1965, but then rose continuously up to the middle of 1966, attaining a new post-war record of 21.5 per cent.

More important, perhaps, from the conjunctural point of view, has been the development of transfer payments and tax receipts. The rise in public current transfers to the non-government sector slowed down up to September 1965, but accelerated strongly thereafter. Compared with twelve months previously, the rate of growth of total government spending on consumption, investment in fixed assets and current transfers went up from 14.2 per cent in fiscal year 1964 and 12.3 per cent

in the first half of the fiscal year 1965 to 21 per cent in the second half of fiscal year 1965 and to 22.7 per cent in the first half of fiscal year 1966. This steepening of the trend of income-effective government spending was accompanied by a marked slowing down of the increase in current revenue in fiscal year 1965. In the first half of fiscal year 1966, the rate of growth of current revenue increased again, but still remained considerably below the rate of growth of income effective expenditure. As a result, the balance of income effective transactions between the government and the non-government sector showed an important improvement in favour of the latter. Its primary effect in terms of increases in total net government spending against the corresponding period of the previous year amounted to as much as 620 billion yen or 2 per cent of GNP in fiscal year 1965 and 294 billion yen or 1.6 per cent of GNP in the first half of fiscal year 1966. If the calculation of the budgetary impulse on private incomes is not based on fiscal years but on the two years ending in September 1965 and 1966 (which would be more appropriate in order to judge the importance of the policy changes, which only started to produce effects from the autumn of 1965 onwards), the improvement of the private income balance works out at as much as 2.8 per cent of GNP in the year ending September 1966 (the year of the recovery process) following a marginal improvement of 0.2 per cent of GNP during the recession year September 1964 to September 1965.

III. SPECIFIC FEATURES OF THE 1964-66 CYCLE

In certain quantitative respects, the revised national accounts statistics now available show the 1964-65 recession and subsequent recovery to have been not significantly different from the previous cycles of 1957-59 and 1961-63. The decline in private productive investment or in business spending on fixed capital and stocks was longer (five quarters, instead of three in the previous two recessions) but less strong (about 10 per cent in real terms, for private productive investment, as against 13 to 14 per cent previously). The recovery (the time between the trough and the recovery of private productive investment to its pre-recession peak) was of the same duration as in 1963 (three quarters) and shorter than in 1958-59 (five quarters); in the latter case, it is true, the Japanese recession was part of a world-wide recession. Inventory investment, like private productive investment, also declined less strongly in the latest case than previously—though this is an ambiguous feature, since the difficulty of absorbing excess inventories may have contributed to the lengthening of the recessionary phase.

Table 11. CHANGES IN COMPONENTS OF DEMAND DURING THREE CYCLES

Current prices.

	1957-60 FROM PEAK (1957II)			1961-64 FROM PEAK (1961IV)			1964-66 FROM PEAK (1964III)		
	TO TROUGH (1958II)	TO RECOVERY (1960I)	AS % OF CHANGE IN GNP	TO TROUGH (1963I)	TO RECOVERY (1964I)	AS % OF CHANGE IN GNP	TO TROUGH (1965IV)	TO RECOVERY (1966III)	AS % OF CHANGE IN GNP
Private enterprises[1]	— 11.9	1.3	4.7	— 8.6	1.9	5.9	— 4.0	0.4	1.4
Net exports	5.0	3.4	12.7	1.7	— 0.1	— 0.4	1.3	2.0	7.3
Public sector	2.3	5.5	20.2	5.5	8.9	27.7	4.5	7.6	28.5
Households	4.1	16.9	62.4	10.6	21.3	66.6	10.0	16.8	62.7
GNP	— 0.5	27.0	100.0	9.1	31.9	100.0	11.9	26.7	100.0

1. Spending on fixed assets and stocks.

Source : Annual Report on National Income Statistics, 1967, Economic Planning Agency.

NOTE. Changes are expressed as percentages of GNP at previous peaks.

Bigger differences appear between the behaviour of the other elements of demand (see Table 11 and 12). In 1957-58 these other elements expanded just enough to make good the decline in business spending (with net exports contributing about half of the compensation). In the last two recessions, these elements expanded considerably more than business spending declined and were therefore able to sustain a non-negligible growth of total expenditure (with net exports playing a rather limited rôle). In both the last two downturns, government spending expanded appreciably, and spending by households seems to have been affected by the recession only to a limited degree. Leaving aside the psychological factors, the supporting rôle of government effective spending appears to have been even stronger in 1961-63 than in 1964-65. The behaviour of the various demand components in the three cases appears more homogenous, however, if, instead of the phases of decline, the whole cycles, from peak through trough to recovery, are compared.

The most important contrast to the behaviour in previous recessions lies in the fact that the economy did not react, in 1964-65, to the relaxation of monetary policy. It was against this background that an important budgetary change was introduced to put the recovery on a firm footing. This change was not brought about by the increase in public spending—similar increases had taken place in the previous recessions —but by the decision to allow a substantial deficit of the public sector to develop.

The reasons why business spending, during the last recession, failed to react as previously to monetary relaxation are not easy to pinpoint. The last OECD Survey of the Japanese economy offered the explanation that although, in the past, credit availability had been the most important factor limiting investment (because of strong pent-up investment demand) the very important increases in investment which had taken place after 1959 had created a potential gap between supply capacity and demand, which the restrictive measures of 1964 served to unveil. A rough estimate placed this gap at 10 per cent of capacity or more, and it was argued that to induce a corresponding increase in demand, a substantial rise in public expenditure (or an important budget deficit) would be needed. In a broader perspective, the difficulties of the situation were considered as linked to the transition of the Japanese economy from a phase when the share of investment in GNP was rising to one in which it would be roughly stable.

The practical conclusions of this analysis are not belied by subsequent events. The economy recovered with the help of a deficit of the public sector amounting to about 3 per cent of GNP; manufacturing investment started rising again only in the second half 1966, after the growth of demand other than for business spending had reached 25 per

TABLE 12. **BEHAVIOUR OF DEMAND COMPONENTS IN THE LAST THREE RECESSIONS**

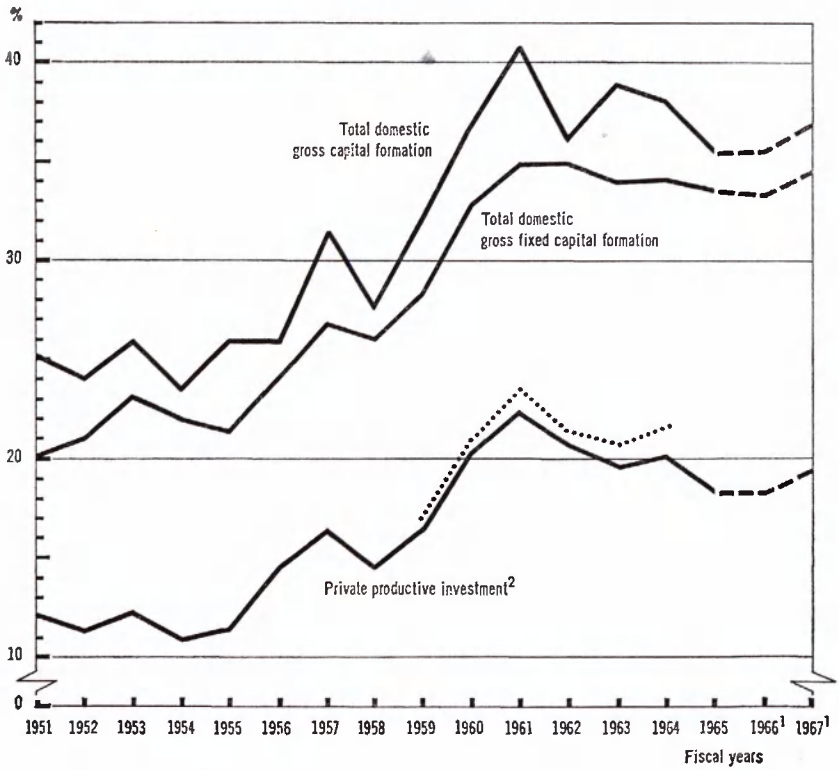
FROM THE PREVIOUS PEAK TO THE FIRST QUARTER OF RECOVERY. BILLION YEN, AT 1960 PRICES, SEASONALLY ADJUSTED, ANNUAL RATES.

	1957 II	1958 III	CHANGE	1961 IV	1963 II	CHANGE	1964 III	1966 I	CHANGE
1. Private productive investment	1,945	1,760	— 185	4,225	3,922	— 303	4,852	4,619	— 233
2. Private investment in stocks	1,019	369	— 650	1,313	714	— 599	1,163	491	— 672
3. 1 + 2	2,964	2,129	— 835	5,538	4,636	— 902	6,015	5,110	— 905
4. Net exports	— 165	249	+ 414	— 355	— 140	+ 215	79	786	+ 707
5. General government consumption	1,131	1,224	+ 93	1,375	1,561	+ 186	1,854	1,973	+ 119
6. Government investment	750	946	+ 196	1,573	2,015	+ 442	2,197	2,570	+ 373
7. Government enterprise investment in stocks	36	65	+ 29	— 127	— 58	+ 69	1	81	+ 80
8. 5 + 6 + 7	1,917	2,235	+ 318	2,821	3,518	+ 697	4,052	4,624	+ 572
9. Private consumption	6,654	7,249	+ 595	9,689	11,035	+ 1,346	12,517	13,772	+ 1,255
10. Private housing	402	450	+ 48	696	883	+ 187	1,093	1,318	+ 225
11. 9 + 10	7,056	7,699	+ 643	10,385	11,918	+ 1,533	13,610	15,090	+ 1,480
12. Gross national expenditure	11,772	12,313	+ 541	18,388	19,932	+ 1,544	23,755	25,612	+ 1,857

Source: Annual Report on National Income Statistics 1967, Economic Planning Agency.

cent in value terms (certainly more than 10 per cent in real terms) in relation to the previous peak. This would seem to confirm the suggestion that excess capacity was substantial when the recession started. On the other hand, the revised national accounts statistics indicate that the share of private productive investment in GNP had already reached a peak in 1961 (22.5 per cent, in 1960 prices) and that it declined subsequently, not exceeding 20.5 per cent at the height of the 1963-64 boom. It was probably of the order of 18.5 per cent of GNP in 1966, and is unlikely to exceed 20 per cent in 1967. As this rate of investment seems capable of sustaining rates of growth of GNP not much below 10 per cent per annum, the structural transition mentioned above

Diagram 2. **SHARES OF INVESTMENTS OF GNP**
AT 1960 PRICES



1. Secretariat estimates.
2. Dotted line shows old series.

Source: Annual Report on National Income Statistics, Economic Planning Agency.

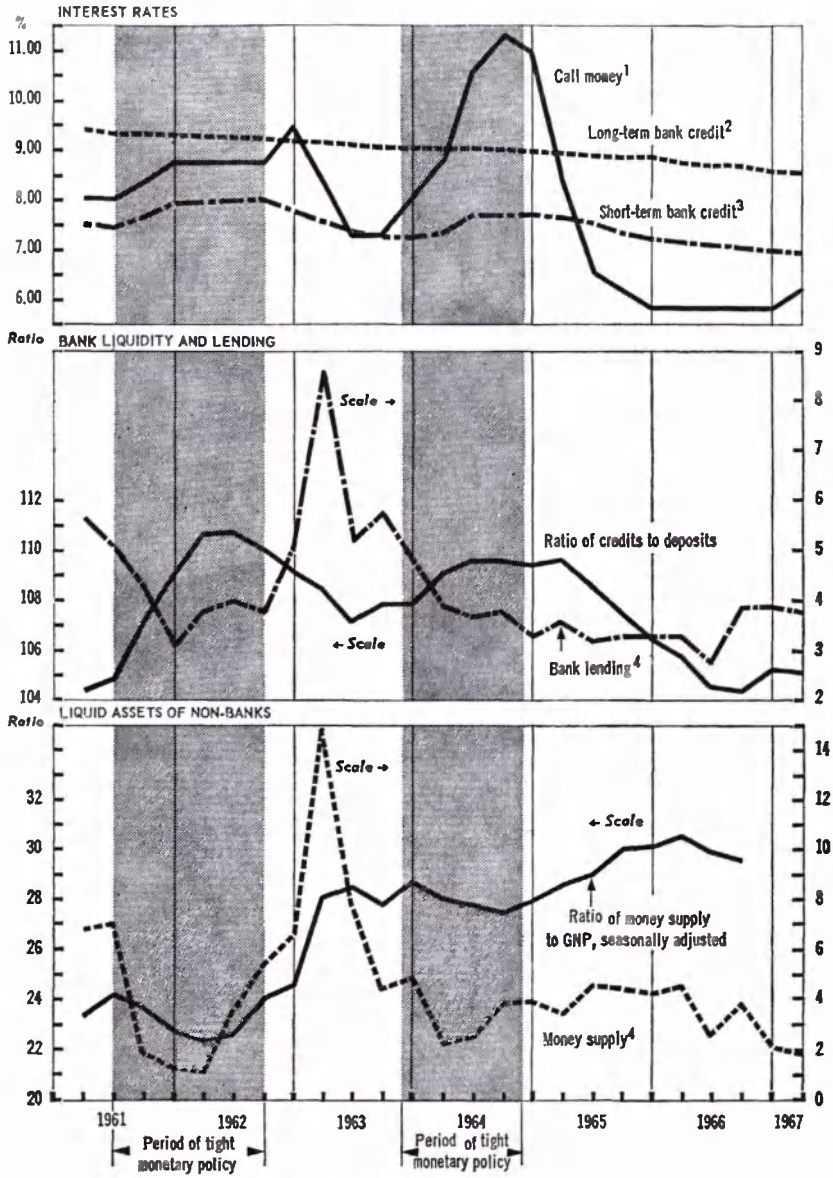
TABLE 13. CHANGES IN FINANCIAL ASSET-LIABILITY POSITION

Billion yen.

	1961	1962	1963	1964				1965				1966		
				I	II	III	IV	I	II	III	IV	I	II	III
Government	167	—208	—310	385	—279	91	—850	387	—286	—3	—1,002	241	—424	—105
Central government	482	337	297	466	—63	221	—506	466	12	186	—549	437	—169	143
Public corporations and local authorities	—315	—545	—607	—75	—217	—130	—345	—79	—298	—189	—452	—196	—255	—248
Corporate business	—2,430	—1,692	—1,842	—584	—533	—449	—604	—334	—265	—375	—304	—219	—182	—244
Households	1,909	1,883	1,871	3	714	376	1,557	—66	601	534	1,446	9	667	521
Rest of the world	354	18	281	195	99	—18	—103	12	—51	—156	—141	—30	—68	—172

NOTE. (—) signs indicate deterioration in balance.
Source: The Bank of Japan.

Diagram 3. **MONETARY INDICATORS**



1. Average Tokyo unconditional rate.
2. Interest on loans from long-terme credit banks.
3. Interest on loans and discounts from City Banks.
4. Quarter-to-quarter seasonally adjusted rate of growth of outstanding amounts.

Source: Economic Statistics of Japan and Economic Statistics Monthly, Bank of Japan.

may by now have been more or less accomplished. It has been eased by the rise in government investment and in residential construction, the share of which has increased from 11.8 per cent of GNP in 1961 to more than 15 per cent in 1966, thus keeping total fixed asset formation rather stable at around 34 per cent of GNP.

IV. THE BALANCE OF PAYMENTS

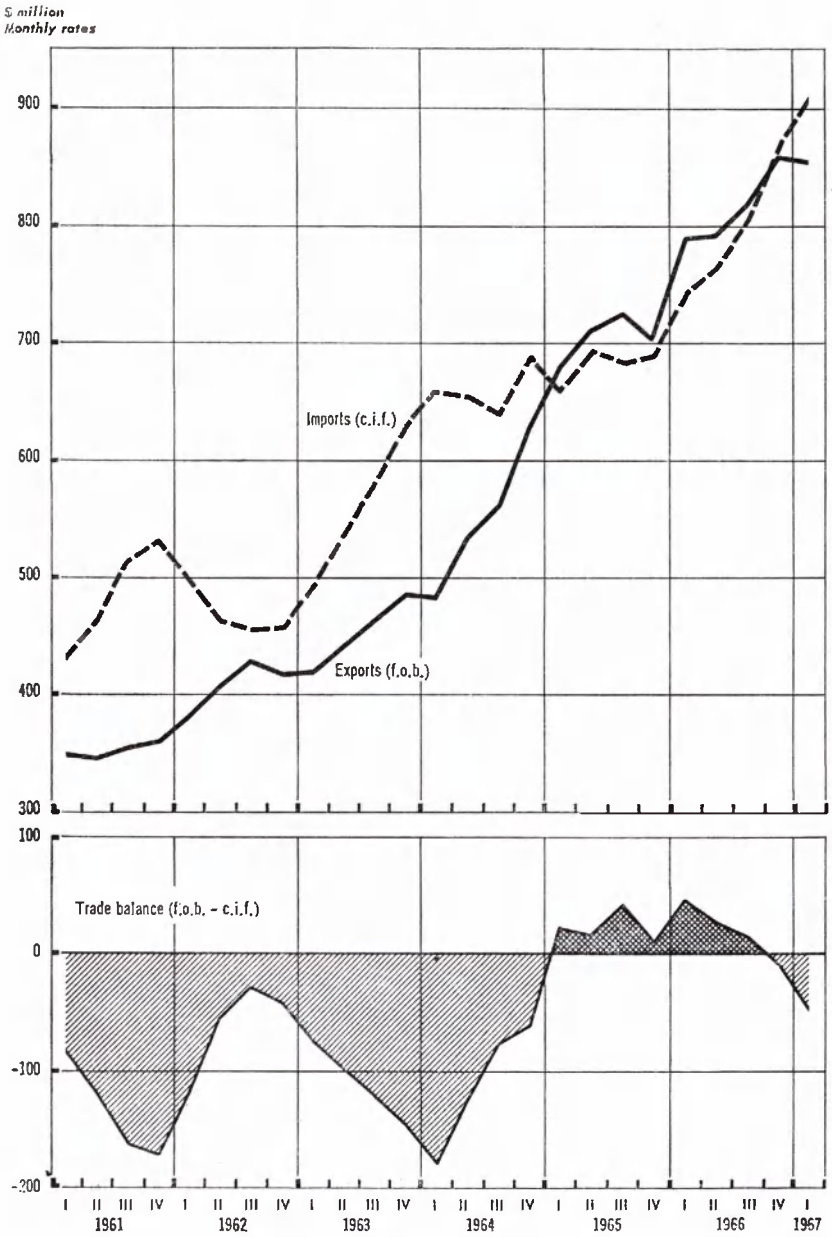
The pattern of Japan's balance of payments has changed importantly during the last two or three years. After the autumn of 1964, when the current balance switched into sizeable surplus (with an almost simultaneous though less marked swing of the capital account into deficit) Japan's external position was completely reversed. From a substantial net importer of real resources and money capital, Japan became an important net exporter in both fields. The tendency towards rapidly rising current surpluses continued well into the first half of 1966. Since then it has, up to the time of writing, been reversed, while the net capital outflow appears only very recently to have stopped rising.

It is difficult to say how far these changes reflect short-term policy and business trends at home and abroad rather than longer-term developments. As far as the current balance is concerned, it is obvious that its rapid improvement during 1964 and 1965 was closely related to the coincidence of a period of sharply accelerading world demand and the marked slack of activity developing at home. Thus, between 1963 and 1965, the growth of Japan's export markets (weighted by Japan's geographical export structure) picked up from 7 per cent to 12.6 per cent, whilst over the same period the growth of total domestic expenditure dropped from 14.5 per cent to 8.2 per cent. The latter induced a sharp fall of the rise in imports (customs statistics) from 19.5 to 2.9 per cent. It also resulted in an increasing " export drive " which, associated with an improved competitive position, led to particularly big market gains. Expressed in terms of the previous year's exports, these gains in 1964 and 1965 amounted to as much as 10.4 per cent and 14 per cent respectively as compared with 3.8 per cent in 1963.

A reversal of these favourable trends has made itself felt since the second half of 1966, when the growth of imports accelerated sharply and outstripped the sharply decelerating growth of exports for the first time since 1963. World demand has been losing strength, while the Japanese economy has entered into a new phase of rapid expansion, boosting imports and moderating the export incentive.

Diagram 4. **FOREIGN TRADE**

SEASONALLY ADJUSTED



Source: Main Economic Indicators, OECD.

Table 14. BALANCE OF PAYMENTS

$ million.

	1962	1963	1964	1965	1966	1st qtr. 1966	1st qtr. 1967[1]
1. Exports, fob	4,861	5,391	6,703	8,333	9,639	2,070	2,228
2. Imports, fob	4,459	5,557	6,328	6,432	7,366	1,700	2,077
3. Trade balance	402	—166	375	1,901	2,273	370	151
4. Services and transfers, net	—451	—614	—856	—970	1,022	—287	—319
of which: transportation	—412	—416	—449	—524	—609	—167	—166
investment income	—92	—119	—196	—189	—187	—46	—40
5. Current balance	—49	—779	—480	931	1,251	83	—168
6. Change in long-term claims abroad	310	298	451	447	706	155	169
Direct investment	77	122	57	77	105	28	24
Trade credit	196	104	336	243	403	79	124
Loans	13	60	49	114	147	34	16
Securities	0	—	—	1	2	—	—
Others	24	12	9	12	49	14	5
7. Change in long-term foreign liabilities	482	765	558	33	—103	—	—19
Direct investment	45	89	84	45	30	11	24
Trade credit	37	58	81	—9	—29	3	—19
Loans	270	383	255	20	—20	13	—7
Securities	130	268	170	13	—50	—10	2
of which: issued abroad	72	154	155	73	—26	—4	—6
Others	—	—31	—32	—36	—34	—17	—19
8. Balance of long-term capital (7-6)	172	467	107	—414	—809	—155	—188
9. Non-monetary short-term capital	108	107	233	—62	—64	12	90
of which: trade credit	54	63	185	22	—20	27	—
10. Errors and omissions	6	45	11	—51	—44	54	—18
11. Balance on non-monetary transactions	236	—161	—130	404	335	—7	—284
Monetary movements:							
12. Change in commercial banks' net foreign position	7	—412	—67	284	389	—8	—
of which: usance facilities	252	206	174	297	472	14	—
13. Official gold and foreign exchange reserves	355	37	121[2]	108	—33	2	3
14. Other	—126	214	—184	12	—21	—1	—

1. Provisional.
2. Gold tranche of $ 180 million at the end of March 1964 is included.

Source: The Bank of Japan.

TABLE 15. GROWTH OF MARKETS AND FOREIGN TRADE

	1960	1961	1962	1963	1964	1965	1966	1967[1]
EXPORTS:								
1. Growth of Japan's export markets[2]	7.9	1.6	3.5	7.0	12.1	12.6	10.5	7.8
2. Actual growth of Japan's exports	17.3	4.5	16.1	10.9	22.4	26.7	15.7	10.4
3. Market gains (2-1)	9.4	2.9	12.6	3.9	10.3	14.1	5.2	2.6
IMPORTS:								
4. Growth of total domestic expenditure	20.5	24.2	10.2	14.5	16.3	8.2	13.8	
5. Growth of imports	24.8	29.4	—3.0	19.5	17.8	2.9	16.6	21.0
6. Import ratio[3]	10.6	11.0	9.7	10.1	10.3	9.8	10.4	

1. Forecasts.
2. The growth which would have occurred if Japan had exactly maintained its share in "normal" OECD exports to each market.
3. Share of merchandise imports in total domestic expenditure.

Source: OECD Secretariat estimates.

NOTE. Based on current price data.

The marked shift from surplus to deficit on capital account has been due to various factors. First, since 1964, there has been a steep increase in Japanese long-term financial investments abroad, mostly in the form of trade credits and loans. Furthermore, net amount of grants and government loans from Japan to developing countries is increasing ($250 million in 1965 and $280 million in 1966). This tendency will have a non-negligible weight in the future pattern of the balance of payments. Direct investment abroad has remained rather stable and purchases of foreign securities virtually non-existent. Second, the former sharp rise in Japan's long-term foreign liabilities practically stopped in 1965, yielding to a decline in 1966. Most types of liabilities contributed to this development. Between 1964 and 1966 there was an absolute drop of outstanding trade credits received and of foreign holdings of Japanese securities. Proceeds from bond issues abroad were halved to less than $100 million in 1965 as compared to the preceding two years, and disappeared entirely in 1966. Outstanding loans —previously an important source of capital imports—remained stable and new direct investment from abroad tended to recede. Third, a similar though less spectacular swing from surplus to deficit took place on short-term non-monetary capital account, largely resulting from Japan's switch from a net trade credit-receiving country to a net donor and from repayment of untied loans previously received.

TABLE 16. FOREIGN TRADE BY COMMODITIES

$ million.

	1964	1965	1966	RATE OF CHANGE (%)		
				1964	1965	1966
EXPORTS:						
Food and beverages	323	344	383	11.7	6.4	11.3
Textiles	1,426	1,582	1,762	14.4	10.9	11.4
Chemicals	384	547	669	21.8	42.6	22.4
Non-metalic mineral products	242	265	285	13.9	9.6	7.4
Metal and metal products.	1,203	1,718	1,778	27.4	42.8	3.5
of which: iron and steel	909	1,290	1,293	29.6	41.9	0.2
Machinery[1]	2,223	2,975	3,757	31.7	33.8	26.3
of which: ships	491	748	823	44.4	52.5	10.1
motor vehicles.	181	237	306	33.6	31.3	28.9
Miscellaneous	872	1,020	1,142	15.3	17.0	11.9
Total	6,673	8,452	9,776	22.4	26.7	15.7
IMPORTS:						
Food and beverages	1,386	1,470	1,676	27.4	6.0	14.0
Raw materials and mineral fuels	4,505	4,847	5,677	12.7	7.6	17.1
Machinery	882	760	820	3.2	— 13.8	7.9
Other	1,164	1,092	1,349	46.4	— 6.2	23.6
Total	7,938	8,169	9,523	17.8	2.9	16.6

1. Including precision instruments.
Source: Ministry of Finance.

The reasons for these rather substantial changes on capital account seem rather complex. The increasing deficits in respect of long and short-term trade credits partly reflect divergent trends in exports and imports, but also shifts in the composition of foreign trade towards heavy equipment on the export side and the decrease of weight of capital goods (to be the subject of deferred payment) on the import side (see Table 16). The easing of monetary conditions at home and interest rate developments abroad have also played an important rôle. The cessation of long-term net borrowing and bond issues abroad is, no doubt, closely linked to the relative change of monetary conditions but may, also reflect diminished demand of enterprises for borrowed funds and may partly result from the strengthening of the US policies to defend the dollar in February 1965. The increase in loans, on the other hand, is due to higher development aid disbursement. Another salient factor has been the sharp rise in repayments of foreign long-term loans which soared from $88 million in 1963 to $300 million in 1966.

Some of these factors may be relatively durable (trends in development aid and structural changes in foreign trade) but others more transitory. The widening interest rate gap in Japan's favour should discourage net capital exports and stimulate borrowing abroad. And the trade credit balance may be favourably affected by less buoyant exports and the steeper trend of imports. The upsurge of loan repayments, the aftermath of heavy borrowing in 1962-64, should subside after passing its peak in response to the recent fall of borrowing abroad. On balance, a significant decline of the net outflow of short-term capital would seem likely. What is more difficult to predict is how this will compare with the likely reduction of the current account surplus.

V. PROSPECTS

According to the official economic outlook for fiscal year 1967, approved by Cabinet in March, the rate of growth of GNP (in volume) will decline from 9.7 per cent in fiscal year 1966 to 9.0 per cent. A dampening influence is expected to result from less buoyant stock building, slower advances in exports and cuts in the rate of growth of government consumption and investment. The trend of private consumption is forecast to remain unchanged, but a stronger expansion is anticipated for residential construction and, notably, for private productive investment. Price pressures are seen as slackening, and the current external surplus shrinking only a little. The overall surplus is, however, expected to be eroded by an increased outflow of long-term capital resulting from rising trade credits and repayments of loans, and from higher development aid.

The authorities seem to consider the forecast 9 per cent real growth of GNP as a maximum " sustainable " rate compatible with the objective of keeping the current external surplus at least high enough to offset the outflow of capital. In this sense, the official outlook includes certain target elements and policy requirements; these were reflected in the recent shift towards less expansionary budgetary policies.

Because of the reconstitution of the Government following the January general elections, the 1967 budget had not been voted at the time of writing. According to the draft budget, the rate of increase of general account spending is smaller than last year (15 per cent against 18 per cent on an initial basis). The tax cut proposed[1] is rather limited

1. To reduce the " fiscal drag " resulting from the high progressivity of taxation, tax cuts are a customary feature of Japanese budgets. Cf. Table 10.

(94 billion yen as against 311 billion yen in 1966 on a full-year basis), and concentrated on personal income taxes. National bond issues are envisaged as being only slightly higher than originally planned for fiscal year 1966 (800 billion yen as against 730 billion yen). The increase in the Financial Loan and Investment Programme has been restricted to 18 per cent over the initial 1966 programme (which had been 25 per cent higher than the 1965 one).

The economic impact of the overall budget proposals is difficult to assess given the various extra-budgetary funds and the regular use of supplementary budgets during the year. If, however, neutral budgetary behaviour is loosely defined as moving in step with the rest of the economy with no important changes of the overall balance, the 1967 national budget plans (general account and FLIP), would appear to be virtually neutral—after two consecutive years of strong expansionary impulses. The rise in central government spending on behalf of the general account budget and the FLIP on the initial 1966 plans is higher than both GNP and ordinary revenue growth forecasts.[1] However, together with special accounts, local authorities and public enterprises, total government expenditure on goods and services is estimated to increase by 12.7 per cent and current transfers by 11.3 per cent, with a decline of their ratios to GNP.

On present trends, the official forecast for the fiscal year 1967, implying a marked slowdown of growth in the course of the year, appears to under-estimate somewhat the expansionary strength of the economy. Indeed, to attain the level foreseen for industrial production in fiscal year 1967 an average monthly rise of only about 0.7 per cent from the present level (April) would be needed, compared with a rate of 1.5 per cent recorded on average during the first four months of current year 1967. The slowing down forecast for private productive investment is even more pronounced. A conservative estimate of a quarter-to-quarter nominal increase of 4 to 5 per cent from October-December 1966 onwards would bring the level of investment in April-June 1967 already up to the average forecast for the whole fiscal year. It is not easy to reconcile the subsequent stagnation thereby implied with available investment indicators. Outstanding orders for machinery excluding ships) rose steeply up to March and despite a decline in April they are presently still running about 20 per cent above their corresponding previous year's level. A recent and rather comprehensive enquiry conducted by the Economic Planning Agency shows that, at the end of February, enterprises were planning to increase their investment by 22.5

1. This is particularly true if account is taken of the amounts shifted from the general account to special accounts in the 1967 budget.

per cent in fiscal year 1967, with a rise of 34 per cent reported for manufacturing (current prices). Even if allowance is made for the fact that fulfilment may remain below intentions, and that small business firms which are not covered by the Survey are likely to expand investment much less rapidly, the official forecast of 15 per cent (current prices) still appears to be on the low side. As to the trend during the year, the investment survey points, in fact, to a decline in the second half of the fiscal year, but this would seem to be rather a regular feature of this type of enquiry.

TABLE 17. **OFFICIAL ECONOMIC OUTLOOK**

Fiscal years, per cent changes.

	1965/1964 ACTUAL	1966/1965 PRELIMINARY	1967/1966 OUTLOOK
Consumers' expenditure	13.0	13.2	13.1
Private gross investment	— 5.4	20.3	16.1
— Residential construction	17.2	18.3	19.5
— Equipment and construction other than residential	— 4.0	12.2	14.8
— Change in stocks (in per cent of GNP)	(1.4)	(2.6)	(2.7)
Government expenditure	17.2	15.3	12.8
— Current	14.9	12.4	11.5
— Capital	19.3	17.9	14.0
Current external surplus (in per cent of GNP)	(1.3)	(1.2)	(1.0)
— Exports	19.3	16.2	11.0
— Imports	7.3	17.1	13.6
GNP in value	10.3	15.2	13.4
GNP in volume	4.7	9.7	9.0
Industrial production	3.6	15.8	14.0
Wholesale prices	1.4	4.0	1.2
Consumers' prices	6.4	5.0	4.5
Customs statistics:			
— Exports	21.4	14.6	11.0
— Imports	6.3	18.8	14.8
Balance of payments ($ million)	1965	1966	1967
Current balance	1,048	1,090	950
Trade balance	2,084	2,110	2,050
Exports	8,591	9,860	10,950
Imports	6,507	7,750	8,900
Services, balance	— 940	— 870	— 950
Transfers, balance	— 96	— 150	— 150
Long-term capital, balance	— 553	— 900	— 950
Short-term capital, balance	— 41	— 80	—
Errors and omissions	— 26		
Overall balance	428	110	0

Source: Outlook and Basic Policy on the National Economy, Fiscal Year 1967, March 1967, Economic Planning Agency.

In view of the continued strong expansion likely in the economy the dip officially forecast for the rate of growth of imports may not fully materialise, while a slackening of the increase in exports seems inevitable, given less favourable developments abroad and especially in the United States market. Even though it is likely that Japan will continue to gain importantly in foreign markets, official forecasts appear optimistic as regards the development of the current balance. On the other hand, more optimism seems to be justified as far as capital movements are concerned, in the light of recent interest rate developments.

VI. SUMMARY AND CONCLUSIONS

Since the middle of last year the Japanese economy has been characterised by a full-scale upswing, with a shift from exports and government expenditure to private productive investment as the main force pushing the economy ahead. Wage and price pressures have so far remained moderate. The high external current surplus has become somewhat smaller and the net outflow of long-term capital has increased.

Although the last recession does not, in retrospect, appear to have been much different from previous ones, it has presented one important new aspect—the lack of response of business' spending to the measures of monetary relaxation. Though various special causes may have contributed to this, the main reason seems to be that mere availability of finance has ceased to be the main factor governing investment in Japan. Demand and profit prospects and the state of confidence have been the main determinants of investment decisions over the last three years. A related indication is that, since 1961, the share of total fixed investment in GNP has been roughly constant, and that of private productive investment falling. Thus the period of extremely strong " autonomous " growth of private productive investment, coupled with a rise of its share in real GNP, might be over. In this case, demand management policies may henceforth have to be concerned with the stimulation of expansion as well as with the containment of inflation, entailing a need for the policy mix to rely, to a greater degree than before, on budgetary measures.

Such a change in policy mix was resorted to in late 1965 and, even more, in 1966 with very beneficial results. Central government finance had exerted a pro-cyclical rather than a stabilising influence on the economy during the earlier phase of the recession, but lent strong support to the recovery from the autumn of 1965 onwards. This re-orientation of fiscal policy had favourable psychological repercussions on

private business. The restoration of confidence in the underlying strength of the Japanese economy, coupled with the " incentive budget " for the fiscal year 1966, induced a new period of rapid expansion. The ratio of national and local taxes to GNP was sharply reduced and the growth of public spending was stepped up further. An additional important factor was the appropriate and flexible timing of spending within a given total during the budget year.

On present trends, the outlook is for a continuation of a balanced internal expansion. Some key industries are working close to or at capacity limits, and the investment boom in large manufacturing enterprises seems to have only recently got fully under way. Following the usual cyclical pattern, the trend of private consumption is likely to strengthen but the stimulus from stock-building gradually to weaken. A continuous strong growth of demand with smaller margins of unused resources may be associated with a somewhat faster rise in prices and a further contraction of the current external surplus.

The balance of payments has undergone important changes in recent years, strengthening Japan's external position though not its gross official reserves. The former structure of persistently high current deficits financed by capital imports has been reversed, though it is too early to conclude that this is a permanent change. Between 1964 and 1966 the current balance moved from a deficit of $480 million to a surplus of $1,252 million, while the overall capital balance swung from a surplus of $340 million to a deficit of $873 million. In 1966 the current surplus in terms of GNP amounted to as much as 1.2 per cent.

In the past, the main obstacle to a sustainable high rate of economic growth has been the fragile state of the balance of payments, which frequently called for drastic changes in the direction of policies. There is little doubt that in view of the weakening trend of world demand and the vigorous expansion at home the external current account surplus will shrink in the current year, though it is likely to remain comfortably high. Such a development seems to be fully compatible with the present conjunctural phase which still contains important recovery elements in Japan. The extent to which the decline of the present high surplus on current account will be offset by a reduction of the capital outflow, is uncertain. The interest rate differential has widened in Japan's favour as against her main trading partners, providing a stimulus to switching back from yen financing to foreign import usance facilities, though the impact on non-monetary transactions may not be very big. There should also be a growing incentive to foreigners to invest in Japanese bonds and vice versa for Japanese firms to take up loans abroad albeit allowance must be made for differences in market practices which may affect the free play of market forces. But it should be borne in mind that the outflow of long-term capital in the form of export credits for

ships and heavy equipment and aid to developing countries tends to grow persistently. It is also true that the level of official reserves is not sufficiently high (about $2 billion—equivalent to two month's imports, c.i.f.) to allow for a long period of drain. Under such circumstances, it is necessary to watch the overall balance of payments position carefully. However, the present shrinking of the current surplus is due, for a substantial part, to the temporary slackening of world demand, and as long as internal developments remain healthy, it would seem appropriate not to take a deterioration of the current balance in 1967 going beyond the very moderate decline officially foreseen as a sign by itself of an overheating of the economy.

STATISTICAL ANNEX

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Table I. NATIONAL PRODUCT AND, EXPENDITURE

Billion yen. Seasonally adjusted, annual rates.

	1964	1965	1966	1965				1966			
				I	II	III	IV	I	II	III	IV
Expenditure:											
at current prices											
Private consumption	15,043.1	17,012.3	19,258.7	16,158.9	16,776.0	17,314.8	17,726.6	18,318.6	18,923.3	19,527.9	20,110.0
Public consumption	2,583.1	2,928.1	3,350.5	2,748.1	2,903.2	3,002.0	3,075.8	3,257.0	3,260.0	3,394.8	3,473.0
Gross fixed asset formation	9,058.3	9,537.6	10,947.3	9,338.4	9,423.4	9,560.2	9,874.8	10,159.9	11,104.8	11,479.6	11,299.2
Private	6,394.5	6,474.9	7,259.7	6,516.9	6,394.8	6,474.3	6,545.4	6,793.7	7,064.7	7,395.2	7,744.1
Dwellings	1,427.2	1,672.9	1,938.2	1,578.1	1,620.8	1,655.9	1,830.0	1,847.6	1,917.6	1,942.8	2,034.7
Other	4,967.3	4,802.0	5,321.5	4,938.8	4,774.0	4,818.4	4,715.4	4,946.1	5,147.1	5,452.4	5,709.4
Government	2,663.8	3,062.7	3,687.6	2,821.5	3,028.6	3,086.0	3,329.4	3,366.2	4,040.1	4,084.4	3,555.1
Change in stocks	1,108.0	597.1	880.3	672.3	739.5	220.6	714.8	440.0	442.4	1,024.1	1,594.1
External current balance	— 147.0	366.1	499.2	346.7	366.8	439.0	307.3	562.0	473.3	482.1	431.4
GNP	27,645.5	30,441.2	34,936.1	29,264.4	30,209.0	30,536.6	31,699.3	32,737.5	34,203.9	35,908.5	36,908.4
at 1960 prices											
Private consumption	12,379.6	13,142.4	14,192.1	12,765.5	12,999.0	13,316.7	13,458.0	13,771.8			
Public consumption	1,824.0	1,853.7	1,954.8	1,819.7	1,858.2	1,890.0	1,879.4	1,973.4			
Gross fixed asset formation	7,968.1	8,140.6	8,898.3	8,045.5	8,071.1	8,153.1	8,327.2	8,507.6			
Private	5,792.7	5,740.2	6,190.8	5,807.7	5,687.1	5,736.8	5,741.9	5,937.6			
Dwellings	1,083.7	1,228.5	—	1,173.2	1,199.0	1,212.4	1,324.3	1,318.3			
Other	4,709.0	4,511.7	—	4,634.5	4,488.2	4,524.3	4,417.6	4,619.2			
Government	2,175.4	2,400.4	2,707.5	2,237.8	2,384.0	2,416.3	2,585.3	2,570.1			
Change in stocks	1,073.5	545.6	798.5	722.8	823.9	251.5	376.4	572.7			
External current balance	17.0	510.5	699.9	471.6	517.0	598.6	457.2	786.1			
GNP	23,262.3	24,192.8	26,543.6	23,825.2	24,269.2	24,209.9	24,498.1	25,611.6			
Factor shares:											
at current prices											
Compensation of employees	12,009.0	13,914.9	16,020.3	13,065.6	13.670,3	14,162.1	14,536.4	14,990.5	15,852.0	16,264.6	16,711.7
Income from unincorporated enterprises	5,235.1	5,765.8	6,318.8	5,811.7	5,666.7	5,833.7	5,790.6	5,996.0	5,985.4	6,374.1	6,548.1
Income from property	2,290.7	2,641.6	3,075.7	2,488.5	2,589.0	2,682.5	2,808.1	2,914.8	2,978.0	3,142.0	3,277.4
Direct taxes on corporations	1,125.0	1,204.9	1,241.1	1,239.5	1,156.4	1,158.6	1,247.7	1,064.3	1,333.7	1,108.2	1,399.3
Saving of private corporations	1,192.2	955.3	1,380.2	1,002.1	1,032.8	946.2	870.4	1,034.8	1,024.8	1,786.9	1,689.3
Other	141.1	65.4	79.7	109.4	78.0	69.2	11.6	32.6	61.3	142.9	79.9
National income	21,993.1	24,547.9	28,115.8	23.716,8	24,193.2	24,852.3	25,264.8	26,033.0	27,235.2	28,818.7	29,705.7

Source: Annual Report on National Income Statistics, Economic Planning Agency.

Table II. PRODUCTION, INVENTORIES AND OTHER BUSINESS INDICATORS

Seasonally adjusted.

	UNIT OR BASE	1963	1964	1965	1966	1966				1967
						I	II	III	IV	I
Indices of industrial production:	1960 = 100									
Mining and manufacturing		142.3	166.8	174.5	195.0	181.7	189.3	200.0	209.0	218.7
Manufacturing		143.7	169.1	177.2	198.3	184.5	192.4	203.4	213.0	223.0
Iron and steel		140.4	172.8	177.7	204.7	183.3	192.7	214.3	227.8	246.9
Machinery		159.5	194.0	198.8	224.6	206.3	215.5	230.1	246.1	266.3
Chemicals		152.7	178.9	208.0	241.9	226.9	235.4	247.7	257.3	260.3
Textiles		122.5	136.9	147.1	162.8	156.5	161.2	164.5	168.6	174.3
Durable consumer goods		160.1	175.7	157.2	180.8	167.9	172.4	185.4	196.8	206.3
Non-durable consumer goods		129.1	138.1	148.6	158.5	154.7	157.1	159.4	163.8	156.5
Investment goods		157.3	198.9	211.4	230.6	215.8	221.3	235.2	250.1	276.4
Construction materials		132.8	154.8	158.7	171.0	159.6	166.7	176.2	180.6	188.2
Other materials		139.7	163.9	173.7	199.5	183.9	194.0	205.1	214.4	226.7
Index of producers' deliveries:	1960 = 100									
Mining and manufacturing		141.1	161.7	170.5	190.9	179.3	187.8	192.6	203.1	212.7
Indices of inventories:	1960 = 100									
Finished goods held by producers:										
Mining and manufacturing		170.0	194.1	222.6	222.8	225.8	221.8	221.9	221.7	222.5
Manufacturing		170.4	195.9	224.9	222.7	227.2	221.9	221.3	220.5	221.5
Durable consumer goods		252.3	330.4	329.3	273.0	287.5	278.5	261.6	264.2	302.0
Non-durable consumer goods		145.1	160.8	180.8	190.6	192.7	186.7	189.6	194.4	188.7
Investment goods		225.8	278.8	334.0	316.7	320.8	306.2	316.9	322.1	323.0
Construction materials		148.2	164.7	210.7	196.8	200.2	195.7	197.6	193.7	199.3
Other materials		164.3	179.5	210.5	220.2	222.0	222.0	220.5	216.4	213.9
Materials:										
Manufacturing		125.5	129.4	132.4	133.7	125.5	129.4	132.4	133.7	138.8
Orders for machinery:	billion yen,									
Private domestic orders (excluding ships)	monthly	58	66	61	73	64	66	73	89	106
Orders from manufacturing	averages	30	38	28	38	30	34	36	53	63
Total (excluding ships)		88	105	103	125	112	118	125	143	162
Total outstanding orders (excluding ships)	end of period	861	957	960	1,123	949	998	1,027	1,123	1,191
Construction starts:	billion yen									
Total	monthly	135	188	188	205	172	197	230	220	
Non-residential	averages	73	109	91	96	73	88	115	106	
Internal trade indices:	1960 = 100									
Wholesale sales		162.8	195.2	222.1	282.5	260.2	275.3	288.9	303.5	313.1
Retail sales		169.9	194.3	212.2	232.6	218.6	226.5	231.8	242.1	249.2
Real consumption levels:	1960 = 100									
Urban households		118.3	125.0	126.6	131.5	130.5	129.4	129.7	134.6	135.3
Rural households		121.5	130.8	137.5	143.8	139.7	144.9	143.0	147.1	

Sources: Ministry of International Trade and Industry, Economic Planning Agency, Ministry of Construction, and Statistics Bureau (Prime Minister's office).

Table III. PRICES AND WAGES

	Unit or base	1964	1965	1966	1965				1966				1967
					I	II	III	IV	I	II	III	IV	I
Indices of wholesale prices:	1960 = 100												
Total		101.3	102.1	106.0	102.0	101.7	101.9	102.7	104.9	105.6	106.4	107.3	108.4
Investment goods		97.5	97.3	97.7	97.4	97.4	97.3	97.2	97.5	97.7	97.9	97.7	97.7
Durable consumer goods		98.9	99.1	99.1	99.1	99.1	99.0	99.2	99.3	99.3	98.9	98.5	99.2
Non-durable consumer goods		106.5	111.2	115.6	110.7	110.5	111.4	112.6	114.9	115.0	115.5	117.2	117.4
Materials and fuels		100.5	100.3	105.4	100.5	99.9	99.9	101.1	103.7	105.0	106.0	106.7	106.0
Manufactured goods		99.3	99.1	99.4	99.3	99.0	98.7	99.3	100.6	101.6	102.4	102.8	103.7
Non-manufactured goods		109.9	110.4	115.8	112.5	112.3	113.7	116.1	121.3	120.9	121.9	124.4	126.7
Indices of consumer prices (national indices):	1965 = 100												
Total		93.8	100.0	105.1	98.1	100.0	100.0	102.0	103.8	105.1	105.2	106.2	108.2
Total (excluding seasonal commodities)		95.7	100.0	105.4	97.8	99.3	100.4	102.6	103.8	105.4	105.8	106.8	107.2
Foods		92.1	100.0	103.9	98.9	100.8	99.4	101.0	104.3	103.9	103.2	104.4	108.7
Housing		96.3	100.0	105.0	98.1	99.5	100.5	101.9	103.1	104.5	105.7	106.6	108.1
Fuel and light		99.2	100.0	101.1	99.4	99.9	100.1	100.5	101.4	101.1	100.8	101.1	100.8
Clothing		96.2	100.0	103.6	97.7	98.9	100.2	103.0	101.7	102.8	103.6	106.4	104.6
Miscellaneous		93.7	100.0	108.1	96.6	99.6	100.6	103.2	104.6	108.8	109.2	109.6	110.3
Indices of monthly earnings (seasonally adjusted):	1965 = 100												
Total		91.3	100.0	110.8	97.1	98.4	100.2	102.8	105.3	108.6	112.0	114.3	116.1
Manufacturing		92.0	100.0	111.6	97.6	98.2	100.9	102.1	105.6	109.8	112.2	116.0	117.8

Sources: Ministry of Labour and Statistics Bureau (Prime Minister's office).

TABLE IV. FOREIGN TRADE AND PAYMENTS

	UNIT OR BASE	1963	1964	1965	1966	1965				1966				1967
						I	II	III	IV	I	II	III	IV	I
Balance of payments:	$ million													
Exports, fob		5,391	6,703	8,333	9,639	1,812	2,066	2,198	2,257	2,070	2,307	2,499	2,763	2,228
Imports, fob		5,557	6,328	6,432	7,366	1,625	1,665	1,545	1,597	1,700	1,859	1,808	1,999	2,077
Trade balance		—166	375	1,901	2,273	187	401	652	661	370	448	691	764	151
Goods, services and transfers, balance		—606	—856	—970	—1,022	—221	—260	—219	—270	—287	—257	—213	—265	—319
Current balance		—779	—480	931	1,251	—34	141	433	391	83	191	478	499	—168
Long-term capital:														
Assets		298	451	447	706	78	122	121	126	155	127	172	252	169
Liabilities		765	558	33	—103	62	13	—43	1	—	—1	—46	—55	—19
Balance		467	107	—414	—809	—17	—109	—164	—125	—155	—129	—218	—307	—188
Basic balance		—312	—373	517	442	—51	32	269	266	—72	62	260	192	—356
Short-term capital:														
Assets		—8	—8	—4	26	14	—13	1	—6	4	2	8	11	—3
Liabilities		99	224	—66	—38	5	24	—51	—44	16	—12	—3	—40	87
Balance		107	233	—62	—64	—9	37	—52	—38	12	—14	—11	—51	90
Errors and omissions		45	11	—51	—44	29	—13	3	—70	54	7	—15	—89	—18
Overall balance		—161	—130	404	335	—30	56	221	158	—7	56	234	52	—284
Exports by region:	$ million													
North America (seasonally adjusted)[1]		1,644	2,028	2,724	3,264	618	681	714	705	810	819	813	831	816
OECD Europe (seasonally adjusted)[1]		708	852	1,044	1,248	252	249	279	267	291	285	300	357	348
South East and Far East Asia (not adjusted)		1,608	1,782	2,194	2,630	484	547	546	618	529	616	666	820	657
Sino-Soviet area (not adjusted)		252	386	478	600	99	112	128	138	131	154	161	153	96
Price indices:	1960=100													
Exports		95	97	96	97	96	96	96	96	96	96	97	98	98
Imports		100	102	99	101	99	99	99	99	101	101	101	99	100

1. Seasonal adjustments made by OECD.

Sources: The Bank of Japan, Ministry of Finance, and Main Economic Indicators, OECD.

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